First, labour supply is outpacing demand, making the share of labour go down steadily in value addition.

Labour supply jumped big in the twentieth century with the global population increasing from 1.6 billion in 1900 to 6 billion in 2000. Improvement in life expectancy also added to the longevity of life, increasing labour supply.

The big increase in population and rising global incomes (rose from $1.1 trillion in 1900 to $41 trillion in 2000 in equivalent 1990 dollars) increased consumption demand for goods and services. This led to large labour demand in new mines to extract raw materials and fuel; the expansion and modernization of agriculture to produce more foods and fibres; the establishment of manufacturing factories to convert raw materials from mines and agriculture and produce industrial goods; and the setting up of innumerable shops and establishments to take goods and services to over a billion households and workplaces. Labour employed globally increased from an estimated 0.6 billion in 1900 to about 2.8 billion in 2000.

The situation, however, began to change in the last quarter of the twentieth century and has intensified in the twenty-first century. Advancement in technology, establishment of global value chains, setting up of more factories to produce goods and establishments to produce services have enormously increased the supply of goods and services. Digitalization has made the production of services easier, virtually eliminating supply constraint.

This transformation has impacted the terms and conditions and the bargaining power of labour and has also resulted in reduction of share of labour in value addition. The share of labour in total income started peaking in the 1980s in advanced countries and has been declining ever since, which has been confirmed by several studies by the OECD and ILO. This trend is